

Chris Giles on Central Banks **US inflation**

Inflation's rental risks

The US and UK need to see a moderation in the price of home leases



Private sector measures are beginning to show a drift higher in annual US rent inflation for new tenants © Getty Images

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Economists expect US consumer price inflation to moderate when figures for April are published on Wednesday. The headline annual rate is expected to dip from 3.5 to 3.4 per cent, with the core rate falling more substantially from 3.8 to 3.6 per cent.

These are significant reference points, but more important than all of that for the trajectory of inflation is probably one component of both the core and headline inflation rate — rent.

The CPI uses rents to measure housing costs on the basis that it is a direct measure for tenants and provides a proxy for out-of-pocket payments for owner occupiers. It assumes owner occupiers purchase their housing services (location, space and shelter) in the private rental market each month rather than having it bundled up in the capital cost of their homes they bought in the past.

Not surprisingly, housing carries a heavy weight in the CPI index — with direct rent accounting for 7.7 per cent of the inflation index, owners equivalent rent 25.4 per cent and second homes 1.3 per cent.

In total, that accounts for [just over a third of the headline index](#) and 43 per cent of the core CPI index. And with annual rent inflation running at just under 6 per cent in March, the shelter component contributed almost exactly 2 percentage points of the 3.5 per cent headline inflation rate (and almost 2.5 percentage points of the core in 3.8 per cent core rate).

What happens to rent clearly is of huge importance. But as Jay Powell, Federal Reserve chair, was at pains to stress in his monetary policy [press conference this month](#), the Fed expects rental inflation to moderate.

There are a number of places in the economy where there are just lag structures built into the inflation process and housing is one of them. So . . . when someone goes to . . . rent an apartment, that's called market rent and you can see market rents are barely going up at all . . .

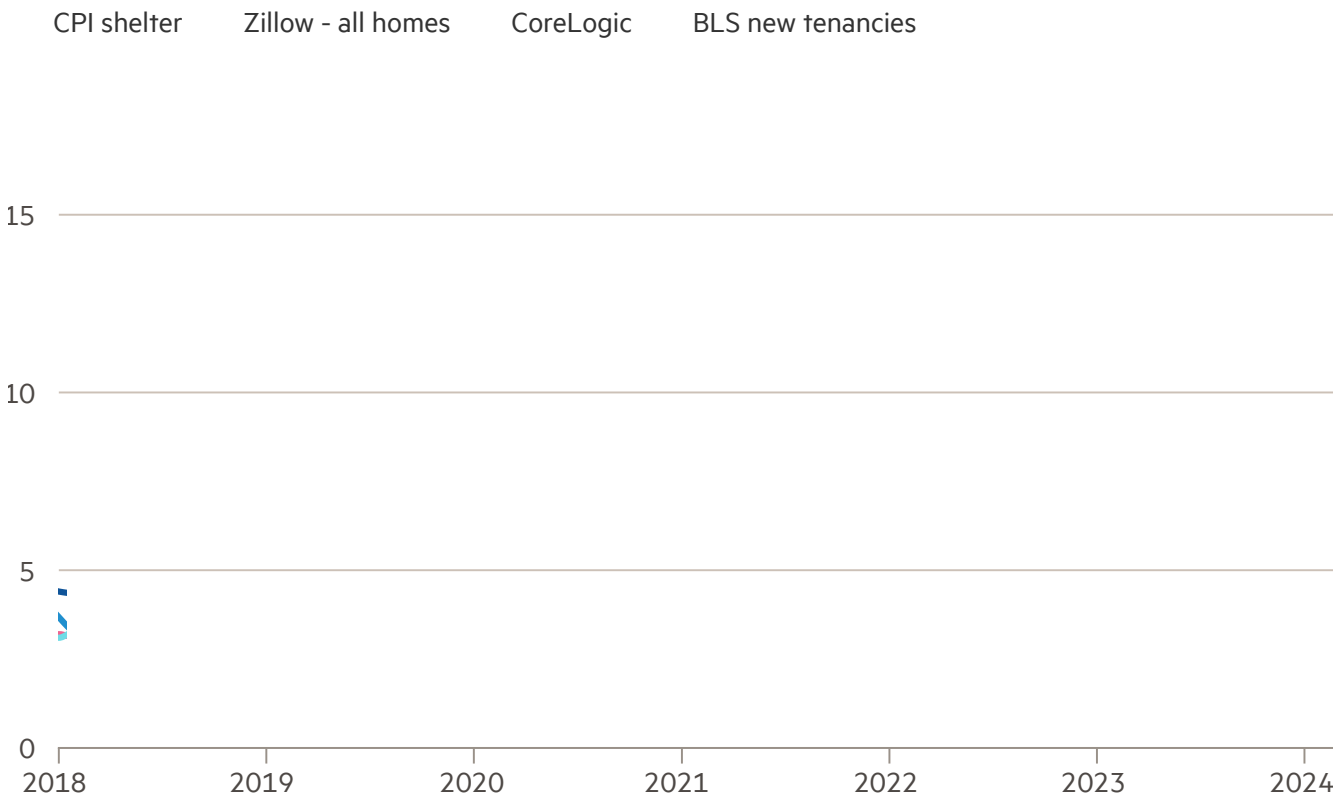
Before that they were incredibly high, they sort of led the high part. So what happens is those market rents take years actually to get all the way into rents for tenants who are rolling over their leases. Landlords don't tend to charge as much of an increase to a rollover tenant for whatever reason, and what that does is it builds up a sort of an unrealised portion of increases when there have been big increases and what happens is, and it's complicated, but the story is it just takes some time for that to get in [the annual inflation statistics].

Now, I am confident that as long as market rents remain low, this is going to show up in measured inflation, assuming that market rents do remain low."

Let us be clear. Powell was saying rent inflation was real and not mismeasured, but that changes in levels take some time to feed into the data. The figures he was talking about are shown in the chart below where three separate measures of new rent inflation from Zillow, CoreLogic and the Bureau of Labor Statistics all rose at double-digit rates in 2022 and have fallen, while the CPI measure of shelter peaked later and is still elevated but moderating gradually.

Measures of US rental inflation rose faster and have fallen faster than the official measure, which includes existing tenancies

Annual change (%)



FINANCIAL TIMES

Source: BLS, Zillow, CoreLog

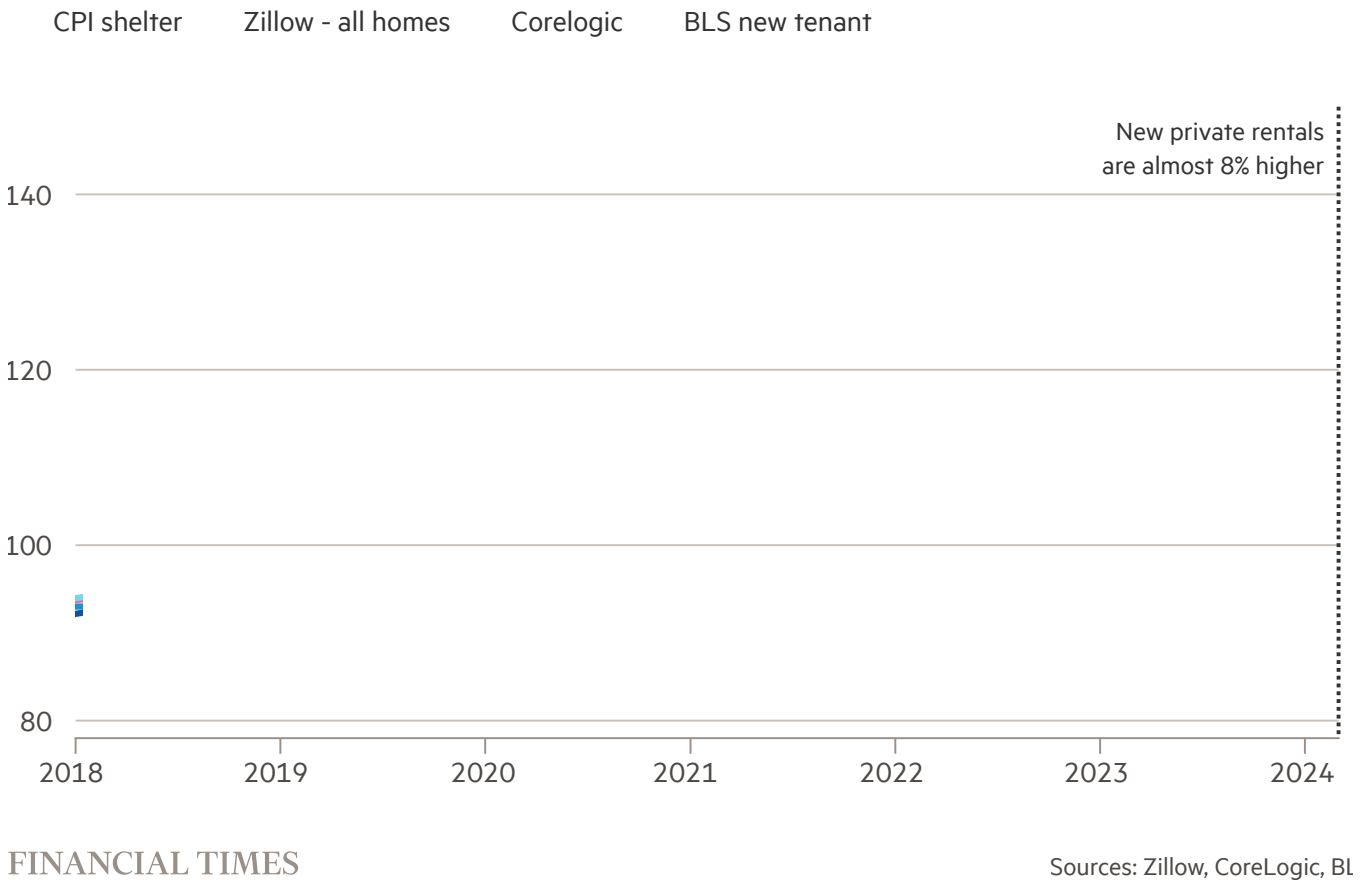
I would note two worrying signs in this chart, however. First, the two private sector measures are beginning to show a drift higher in annual US rent inflation for new tenants. Second, the pull downward of new rents is not as powerful as it once was, [according to the Richmond Fed](#), because people are moving less so new tenants are becoming a smaller share of total tenancies.

What will happen next? Here I am indebted to Adam Shapiro of the San Francisco Fed, who recently did the obvious thing and converted the above chart into rent levels. I have [reproduced his chart below](#) and added other private new rent indices. The most popular new tenant private rental comes from Zillow and it suggests that the CPI shelter component has some way to go before existing rents catch up with new tenancies.

I would note that it matters what measure you use and things do not look nearly so troublesome on the BLS measure. It also matters when you say time zero is, but the start of the pandemic is a reasonable choice.

Private sector measures of US rents suggest CPI shelter has further to rise

Index: Jan 2020 = 100



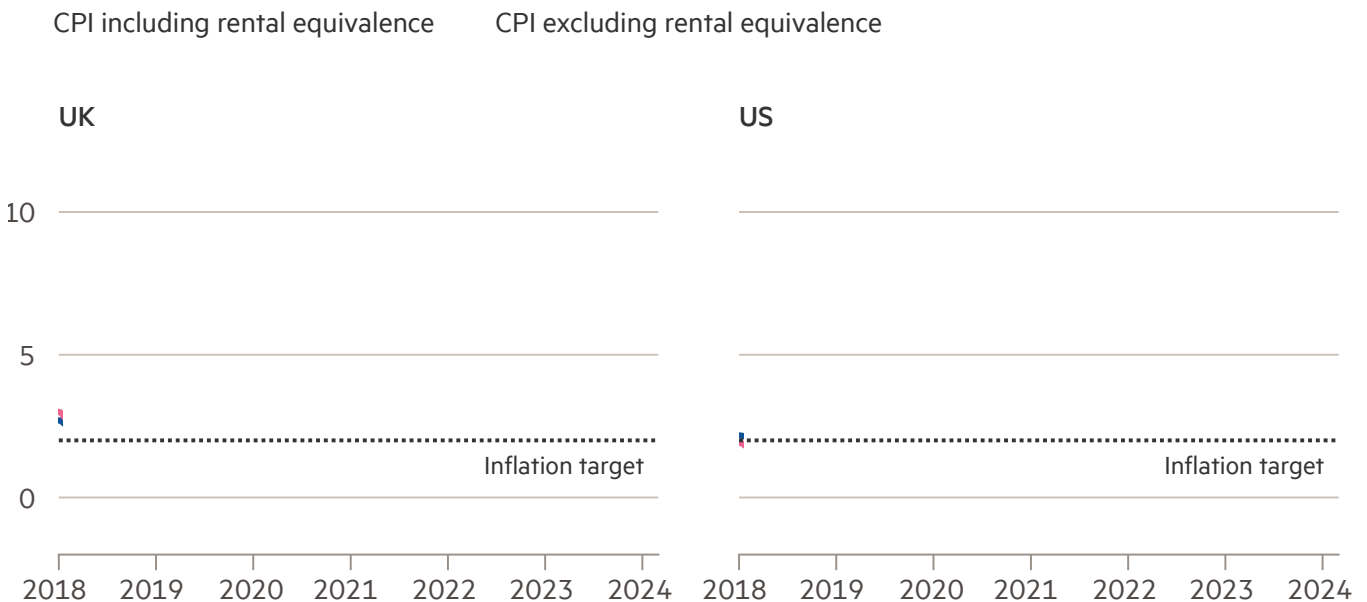
It is at this point where US economists like to say, “why don’t we measure inflation like Europe without a large and imputed owners equivalent rent component that people don’t actually pay”?

Martin Sandbu had a [great discussion](#) of this topic last week, which I want to take a little further. Because in the UK, like the US, we have both an inflation measure which excludes owner-occupiers’ housing costs (confusingly called the CPI) and one that uses the US approach (even more confusingly called CPIH). I need to offer a disclaimer here because I sat on an advisory committee years ago that [recommended the adoption of CPIH](#) in the UK.

You can see in the chart below that in both the US and UK, inflation measures with some form of rental equivalence to proxy owner-occupied housing costs are higher than those that ignore the measures.

Including rental equivalence currently pushes up measured inflation in both the US and UK

Annual change (%)



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Sources: BLS, ONS

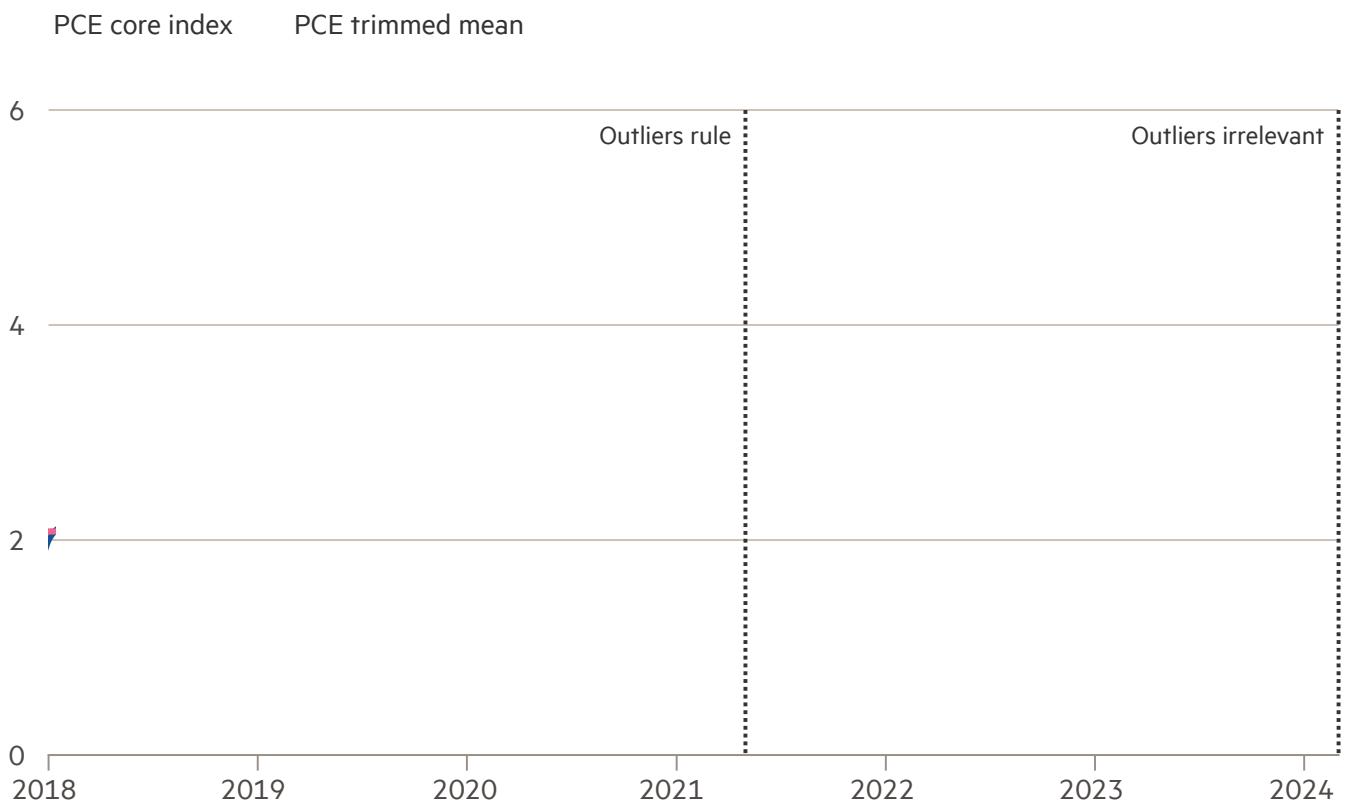
How much should the US worry about rents?

There is no simple answer as to which inflation measure is best. Ignoring housing costs of owner-occupiers is clearly not a sensible strategy, but if your whole index is skewed by owners' equivalent rent, which no one actually pays, that is also a bad statistical outcome. That said, I would not feel comfortable about US inflation just because it looks fine if you exclude owner equivalent rents. I would offer two reasons.

First, in the past six months, almost all measures of US inflation have increased and rents are not to blame. As Jason Furman of Harvard recently noted, there is no difference between the rise in the trimmed-mean measures of inflation and the core measure recently, unlike in 2021, indicating that outliers are not driving the recent rise in inflation as they were in 2021.

Outliers were driving the rise of inflation more in 2021 than now

6m annualised inflation (%)



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Sources: Jason Furman, St Louis Fed

Second, if the supply of accommodation does not increase much as rents rise (it doesn't), then rapidly rising rents (whether for new or existing tenants) can be about as sure a sign as any of excess demand.

There is excess household spending raising prices and it is not surprising it shows up in the rent component.

What about the UK?

The UK has exactly the same data issues as the US. We can chart rental inflation based on new and existing tenancies in the same way, using data on new rental contracts helpfully supplied by Zoopla. You might think you have seen this chart before since the UK rental dynamics look exactly the same as those in the US, but about a year delayed.

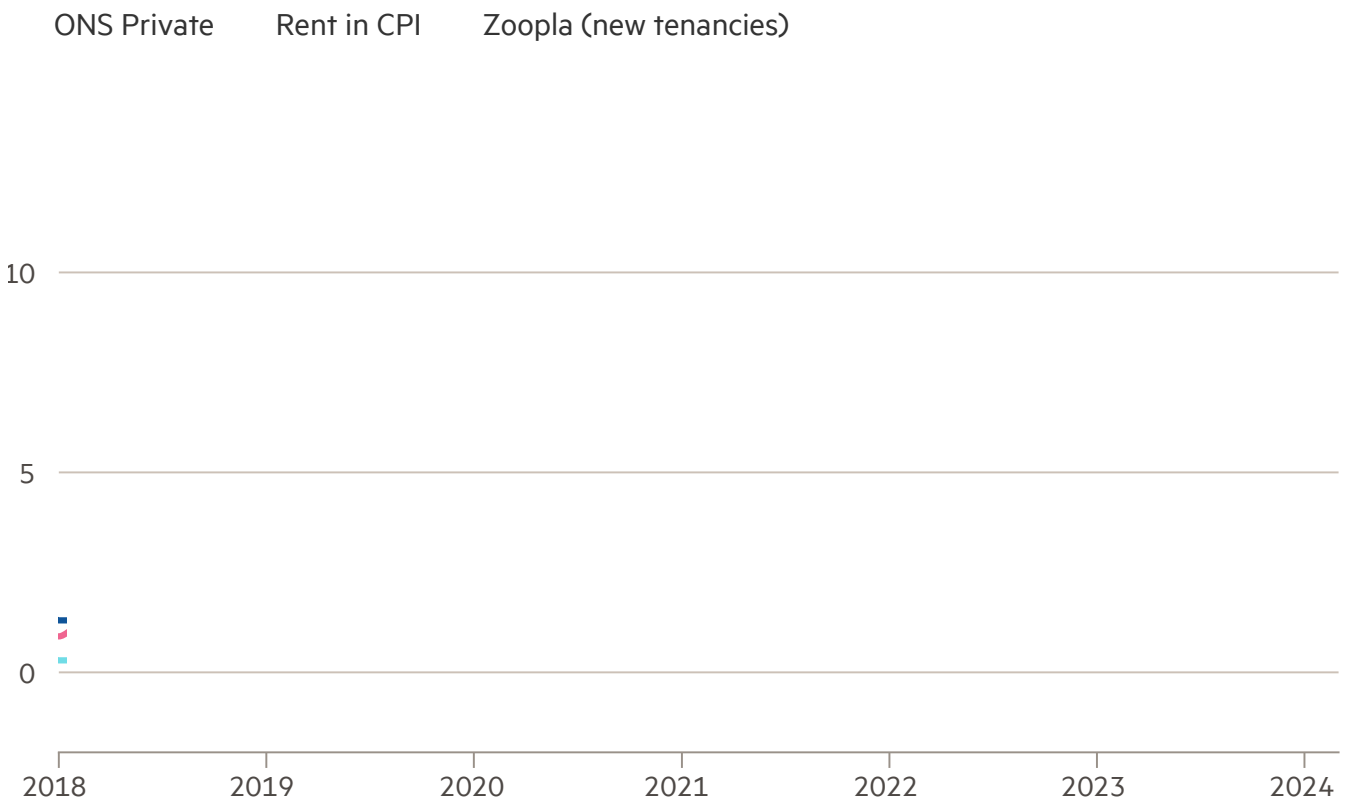
Private rent inflation in the UK in official measures is climbing towards an annual rate of 10 per cent, with the main CPI rent inflation measure lower primarily because it also includes subsidised housing.

If we look at rent levels, new tenancies are being let at levels about 6 per cent higher relative to pre-pandemic levels than the overall rise in the private sector rent measure underpinning the UK CPI. It too suggests there is further for rent levels to rise.

Ultimately, weaker consumption trends should give the UK more favourable inflation dynamics than the US. Evidence of excess demand is certainly much more scarce. But if I want to worry myself about persistent UK inflation, this is the chart that is scary.

UK rent dynamics look similar to those in the US

Annual price change (%)



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Sources: ONS, Zoop

What I've been reading and watching

The minutes of the European Central Bank's April meeting suggest a June [cut in rates](#) is on the cards and in Sweden, which shares similar economic conditions, the Riksbank [cut rates last week](#). Needless to say I disagree with [Mathilde Lemoine's concerns](#) about the ECB cutting rates before the Fed, since [I expect the market reaction to be small](#)

Arthur Laffer has been tipped to be the next Fed chair if Donald Trump wins the US presidential election. [I caught up with him in London](#) for an Economists' Exchange and to hear his views on the Fed, tax policy and the former president

The Bank of England [gave notice that it will cut rates in June](#) if the data is sufficiently well behaved. It was not specific on what it needed to see in the inflation and wage data in the next six weeks

John Burn-Murdoch [worries about the reporting of economic data](#) and whether journalists are always looking for things that bleed to lead

A chart that matters

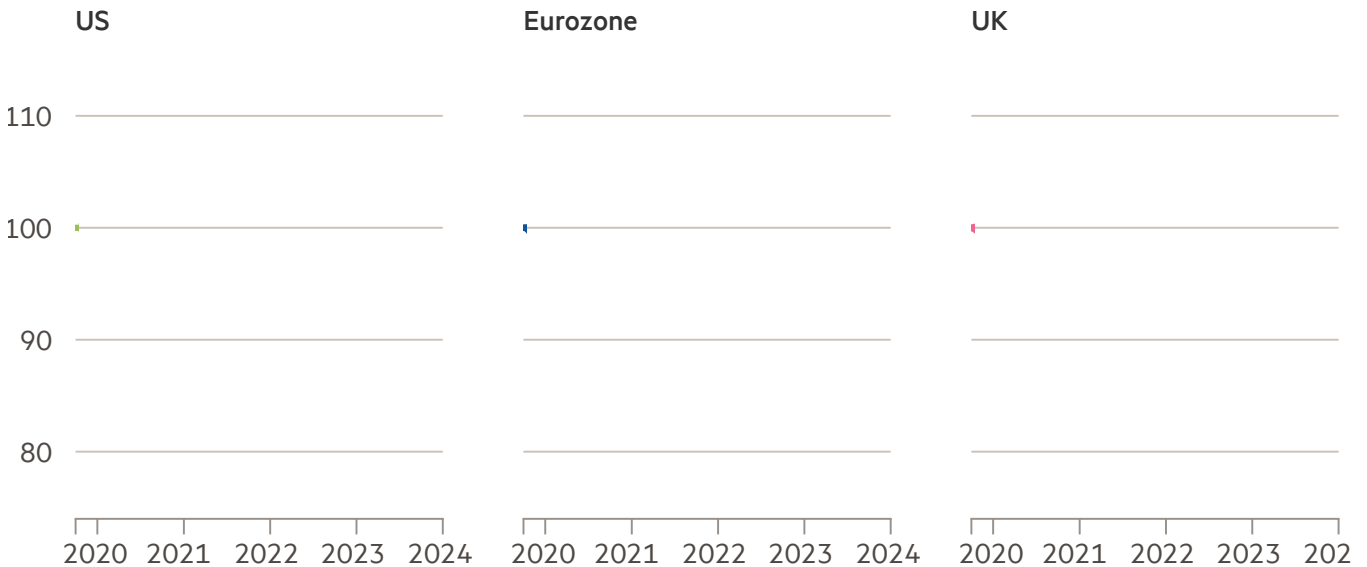
I am indebted to Silvana Tenreyro of the London School of Economics for suggesting this chart.

Lots of Europeans are [fretting about long-term poor economic performance](#). But there is a confusion with a temporary lack of effective demand, which the chart below shows.

I'm with Isabel Schnabel, ECB executive committee member, who is quoted at the end of the linked article saying the following wise words: "There is a risk that the doom and gloom [in Europe] becomes self-fulfilling . . . Given the huge shocks we have had, the economic performance has not been as bad as many had feared, so we should stop talking ourselves down." That said, Europe does need to get private consumption up.

Household consumption in Europe has stagnated since the pandemic in contrast to the US

Real household consumption (solid)
2013-2019 trend (dashed)
Index 2019 Q4 =100



FINANCIAL TIMES

Sources: OECD, FT calculation

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